

FACTS ARE STUBBORN things, but statistics are pliable,” said Mark Twain, the famous writer. The old adage holds a lot of relevance even today; but sometimes startling statistics could also be undisputable facts. How so? Take for instance the world of initial public offerings (IPOs)—especially those from the small and medium enterprises (SME) arena.

Back in 2012, BSE and the National Stock Exchange (NSE)—the two national-level bourses—launched dedicated platforms to get SMEs into the listed space. And it has been a resounding success. More than 850 SMEs have listed so far on the exchanges, with many more in the pipeline. And 2023 has set a new record in terms of the total funds mobilised by way of SME IPOs, with nearly ₹3,500 crore being raised by 135 SMEs.

But while that is true, another set of startling statistics—that are also facts—has drawn the attention of many, including capital markets regulator Securities and Exchange Board of India (Sebi), stock exchanges and other market participants.

46 | Consider this: Mumbai-based SME Kahan Packaging launched an IPO in September to raise ₹5.44 crore but the issue was subscribed more than 700 times. Similarly, Mcon Rasayan India, which hit the market in March, saw its public issue being subscribed 380 times (*see chart ‘High Demand’*). Other SMEs that saw their issues being subscribed over 300 times were Quality Foils (India), Srivari Spices & Foods, and Madhusudan Masala. An analysis of all SME IPOs that hit the market since January 2020 reveals that 10 of the Top 20 in terms of oversubscription came in the current calendar year. And, that’s not all. Even in terms of listing gains, 2022 and 2023 have seen the maximum instances where shares have more than doubled—even trebled in one particular instance—on the day of listing (*see chart ‘Premium Business’*).

These are facts that are easily corroborated by statistics available in the public domain and entities entrusted with protecting public interest are looking at this data quite closely. A large section of market participants believes that some of these numbers are too good to be true and require the urgent attention of Sebi and the exchanges. More importantly, the regulator is also examining whether unfair market practices have made their way into the SME segment as increasingly there is talk of unregistered entities conniving with promoters to get issues hugely oversubscribed and ensuring that shares list at a huge premium.

Many in the market believe that given the kind of oversubscription and listing premium that some SME IPOs

THE MODUS OPERANDI

► An operator approaches an SME that has decent fundamentals and is looking to list

► It demands 5-10 per cent shares at a discount or at par; then it allots the shares to three or four friendly investors

► The operator then approaches a Sebi-registered merchant banker, who will do the official paperwork related to compliance and due diligence

► The operator, however, has full control of the issue, and the merchant banker only lends its name for all regulatory purposes

► The IPO is launched, and artificial demand is created with the help of friendly investors

► Post-listing, share prices are again artificially propped up through the syndicate

► Once the shares achieve the target price, the operator and its friendly investors quietly exit

► Gullible investors get trapped as there is no genuine demand for the shares that move only in a narrow range

